EXOS OFFER TO SCORPIUS SPACE LAUNCH COMPANY

Board Overview

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CONFIDENTIAL — DRAFT — NEGOTIATING TERMS

The Decision

The Board is asked to vote on three motions today.

That's why Exos has stayed committed to funding this acquisition: fair value for SSLC holders, stability for SSLC's team, and real growth for investors. Together we're stronger than apart.

Motion 1: §3 exclusivity — 90-day window begins on board approval (May 2025 AAA)
Motion 2: Full read-only QB Online access for diligence (Cal. Corp. Code §1602 + AAA §4; under 7/27/2021 NDA)
Motion 3: Consent to ERP/MRP & inventory evaluation using QB data (confidential under NDA)

Where SSLC Stands Today

$198K

Cash on hand

Current working capital

$713K

Last quarter revenue

Most recent reported quarter

~$1.46M/qtr

Required to hit $5.1M

M1 milestone threshold

A $5.1M fiscal year requires approximately $1.46M per quarter — nearly double last quarter's pace of $713K — starting Oct 1st. Exos's offer removes the funding risk, solves the physical-space and single-winder constraints (with capital in the new year), and gives SSLC holders direct upside.

SSLC Capital & Debt: What's on the Books

WHAT INVESTORS PAID IN

Common stock (Acct 3010)	$1,010,423
APIC (Acct 3020)	$4,042
Total paid-in capital	**$1,014,465**
Exos: 18.06% → $789,572	**~78% of above**
Accum. deficit (thru FY26)	**−$2,571,013**
Total equity (10/2/2026)	**−$1,403,075**

WHAT SSLC OWES (10/2/2026)

Loans & notes (total)	**$1,027,783**
Due to Microcosm (Acct 2385)	**$451,429**
Notes Payable – Bookstore	**$320,582**
SBA EIDL (Acct 2712)	**$132,072**
Wertz loan (Acct 2714)	**$92,500**
Exos loan (11%, Acct 2720)	**$31,200**
Total liabilities (10/2)	**$1,275,622**

UNBOOKED OFFSET (illustrative — no written cost-sharing agreement on file)

SSLC has paid ~100% of shared Torrance facility costs: ~$354K in FY26 (rent $294K + utilities $31K + other), ~$967K est. Jan 2024–Oct 2026. At a 50% Microcosm share (illustrative) → ~$483K offsets $451K due to Microcosm = SSLC net creditor ~$32K. "$864K 'billed-ahead' balance disputed; under review (full QuickBooks access requested)."

per SSLC QuickBooks 8/21 and 10/2/2026; Microcosm offset illustrative

What SSLC Holders Receive

Cash at close	**$2.51M**
SSLC transaction costs	**$60K**
Exos stake credit (non-cash)	**$790K**
Working-capital bridge	**$500K**
① Cash at close — target by Feb 15th	**$3.86M**
+ Exos equity — EAI units at 409A (Rule 504, ~0.59%)	**$1.0M**
② Total at financing close (SSLC asset acquisition)	**$4.86M**

Issued at financing close
Restricted at issuance (Rule 504)
Part of RTO public float
Freely tradeable at listing

How Value Grows: Earn-Outs & Milestones

Earn-Out	Target SSLC Must Hit	Low	Base	High	Pays
5% of IM tank revenue/yr cap $300K/yr, FY27–FY31	Revenue SSLC achieves each year FY27–FY31	$3.0M/yr →$150K/yr →$750K total	$5.0M/yr →$250K/yr →$1.25M total	$6.0M+/yr →$300K/yr (cap) →$1.5M total	Annual FY27–FY31
M1 SSLC FY27 rev ≥$5.1M →$200K	Annual rev ≥$5.1M in FY27	✓	✓	✓	FY28 Q1
M2 Nebula OTV flight tank set delivered & accepted by IM →$200K	Tank set delivered and accepted by Intuitive Machines	—	✓	✓	At acceptance
M3 SSLC annual rev ≥$10M →$250K	Annual rev ≥$10M	—	✓	✓	Est. FY29
M4 SSLC annual rev ≥$20M →$250K	Annual rev ≥$20M	—	—	✓	Est. FY31
M5 50% reduction in tank build cost (dome & build-process automation proven) →$200K (High)	50% cost reduction proven (dome & process automation)	—	—	✓	Est. FY27–28
Exos stock earn-out at RTO listing (adds to ~0.59% EAI up-front)	Issued at RTO listing	$0 (0.0%)	$625K (0.25%)	$1,500K (0.50%)	Post-RTO ~FY29
TOTAL EARN-OUTS (③ minus ②)		**$950K**	**$2,525K**	**$4,100K**	**5-yr total**

Total Offer Value

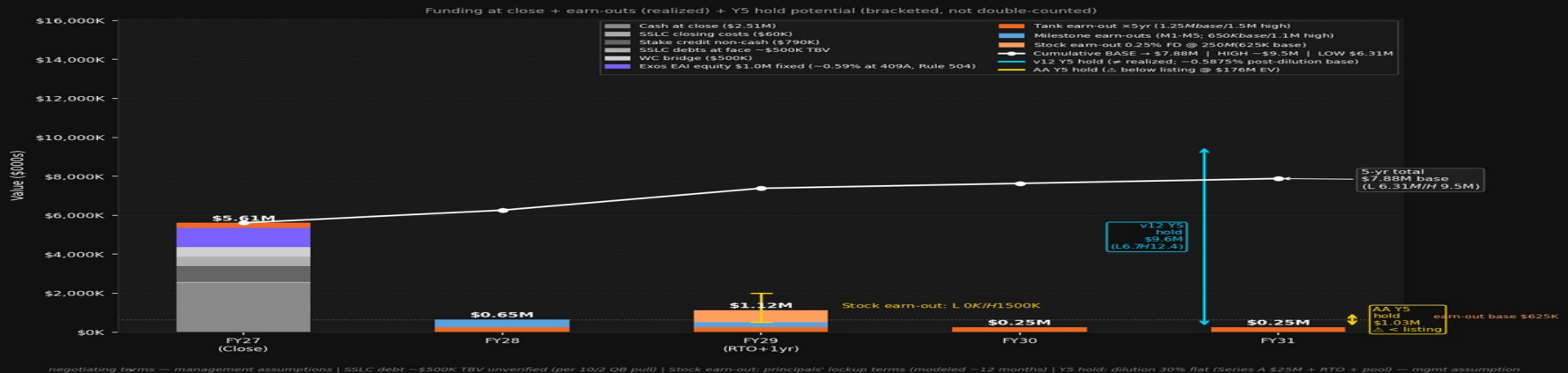
③ 5-Year Total (earn-outs realized)

Low	Base	High
$5.8M	$7.4M	$9.0M
5-yr realized	5-yr realized	5-yr realized

④ If Exos Stock Held to 2031 (projection)

Low	Base	High
$11.5M	$15.3M	$18.9M
if held to 2031	if held to 2031	if held to 2031

④ is a forward-looking projection, not a guarantee; an alternative to ③ — not added to it. RTO may not close.



negotiating terms — management assumptions | SSLC debt ~$500K TBV unverified (per 10/2 QB pull) | Stock earn-out: principals' lockup terms (modeled ~12 months) | Y5 hold: dilution 30% flat (Series A $25M + RTO + pool) — mgmt assumption

The Exos Stock

Instrument

$1.0M EAI units at the current 409A valuation (~$169.7M); ~0.59% fully diluted at issuance.

Offering

Part of Exos's Rule 504 Regulation D offering. U.S. persons only. Counts toward the $10M rolling 12-month cap.

Restricted at issuance

Units carry a restrictive legend at issuance (Rule 504 Reg D). Not freely tradeable prior to the RTO listing.

Public float at RTO

Structured to be part of the public float at going public. No principals' lockup applies to these units; locked-up shares would not count as float.

Freely tradeable at listing

Becomes freely tradeable at the RTO listing (no lockup on the up-front units). Covered by the RTO resale registration.

Timeline

Units issued at financing close. Targeted RTO ~6 months post-financing. Not assured — RTO may not close.

SSLC Employees

Employment Offer

Exos shall offer employment to SSLC employees — including management, support, engineering, and other technical and manufacturing employees — on terms no less favorable than their current terms with SSLC, including compensation and benefits.

Subject to each employee satisfying Exos's standard hiring policies and Exos's completion of confirmatory due diligence.

Key-Employee Option Pool

Exos has an option pool for key employees. The allocation, key-employee retention and new-hire structure will be mutually agreed post-acquisition.

Exos Funding Commitments

$2.51M cash	at financing close (target Feb 15th)
SSLC transaction costs	at financing close (target Feb 15th)
Working-capital bridge $500K	at financing close (target Feb 15th)
$1.0M Exos stock (EAI units, Rule 504)	at financing close (target Feb 15th)
Capital in the new year — physical space and a second winder	(amount TBD; committed at financing close)
Employment offers + option pool	at financing close (target Feb 15th)
Earn-outs on milestones and tank revenue	FY27–FY31 as triggered

One decision today: confirm §3 exclusivity → 90 days → financing close target Feb 15th

Board Motions

1 Confirm §3 Exclusivity (May 2025 Asset Acquisition Agreement)

Approve a 90-day exclusivity period beginning on the date of this approval.
Extension not unreasonably withheld (per §3). Allows both parties to proceed to diligence, definitive agreement, and financing close (target: Feb 15th, 2027).

☐ Approve

☐ Decline

2 Grant Full Read-Only QuickBooks Online Access for Diligence

Authorize an all-access or accountant user for John Quinn and one Exos finance reviewer.
Purpose: reconcile the $864K "billed-ahead" balance and shared-facility costs (Microcosm offset) before close. Basis: Cal. Corp. Code §1602 director inspection right + AAA §4 confirmatory diligence. Confidential under the 7/27/2021 NDA.
Access to be granted no later than October 15, 2026.

☐ Approve

☐ Decline

3 Consent to ERP/MRP & Inventory Evaluation (Separate Motion)

Authorize Exos to use the same QB data to evaluate its in-house ERP/MRP and inventory systems for the combined operation. Confidential under the NDA.
Does not create any obligation to implement; evaluation only.

☐ Approve

☐ Decline

Governance: John Quinn abstains on all motions as an interested director; motions are decided by the disinterested directors.

Path to Close

1. **Board Votes — Three Motions**
   Today — action requested at this meeting
2. **90-Day Exclusivity Window**
   Negotiation and diligence period begins
3. **Definitive Agreement**
   Key terms, employee pool, earn-out detail finalized
4. **Financing Close — target Feb 15th**
   Cash at close + EAI units issued; ① + stock = ②
5. **Targeted RTO**
   ~6 months post-financing; units tradeable at listing (not assured)

The Board is asked to vote on Motions 1–3. Questions and open items welcome.